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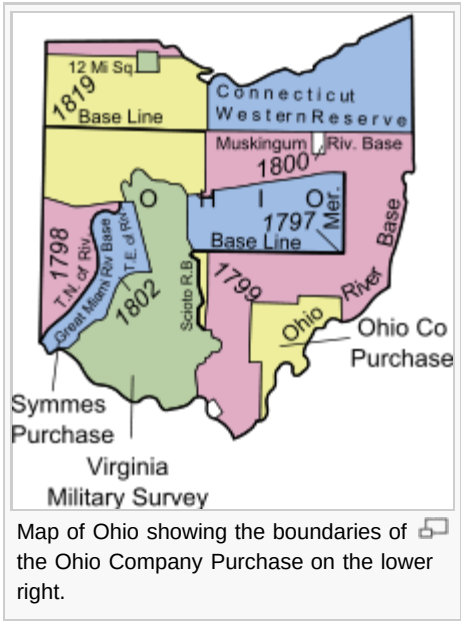
Ohio Company of Associates

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For the earlier Ohio Company of Virginia, see the [Ohio Company](#).

The **Ohio Company of Associates**, also known as the **Ohio Company**, was a land company whose members are today credited with becoming the first non-[American Indian](#) group to settle in the present-day state of Ohio. In 1788 they established [Marietta, Ohio](#) as the first permanent settlement of the new [United States](#) in the newly organized [Northwest Territory](#).

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Map of Ohio showing the boundaries of the Ohio Company Purchase on the lower right.

Creation of the company [\[edit\]](#)

The company was formed on March 1, 1786, by [Rufus Putnam](#), [Benjamin Tupper](#), [Samuel Holden Parsons](#) and [Manasseh Cutler](#) in [Boston, Massachusetts](#). They had met at The [Bunch-of-Grapes](#) tavern, located on King Street, to discuss the settlement of the territory around the [Ohio River](#). On March 8, 1787, [Parsons](#), [Putnam](#), and [Cutler](#) were chosen as directors, and [Winthrop Sargent](#) was elected secretary.^[1] On August 30, 1787, [James Mitchell Varnum](#) was elected as a director, and Richard Platt as treasurer.^[2] Later directors included [Griffin Greene](#) upon the death of Varnum,^[3] and Robert Oliver upon the death of Parsons.^[4]

Negotiations with the government [\[edit\]](#)

Cutler was sent to New York to negotiate with the [Congress of the Confederation](#) to help the company secure a claim on a portion of the land. While there, Cutler aligned himself with [William Duer](#), secretary of the U.S. Treasury Board. Duer and his associates formed a group of New York [speculators](#) who were determined to see settlement of



Rufus Putnam

the area west of the [Appalachians](#).^[5] At this time, Congress desperately needed revenue. The prospect of sales of land helped settle controversy and secure the incorporation in the [Northwest Ordinance](#) of the paragraphs that prohibited [slavery](#), provided for land for [public education](#) and for the support of the [ministry](#).

After the creation of the [Northwest Territory](#), Cutler suggested that the governor of the territory be General [Arthur St. Clair](#), who was then serving as the President of Congress. Once the President had appointed St. Clair to his new position, Cutler and Major [Winthrop Sargent](#), the secretary of the Ohio Company, signed two new contracts with him on October 27, 1787. The first was for the Ohio Company to purchase 1,500,000 acres (6,000 km²) of land at the confluence of the Ohio and Muskingum rivers, from a point near the site of present-day [Marietta](#), to a point nearly opposite present-day [Huntington, West Virginia](#), for a payment of \$1 million in government securities, then worth about 12¢ specie to the dollar. The contract also provided that one section of land in every township be devoted to the maintenance of public schools, another section be set apart for religious uses, and two entire townships be reserved for a university.



Pioneer wagon



Plaque at Marietta, Ohio commemorating the Ohio Company of Associates



The proposed purchase by the [Scioto Company](#) is shown in red. The proposed purchase of 1,500,000 acres (6,100 km²) by the Ohio Company is in blue. The final dimensions of the Ohio Company is in

The second contract was an option to buy all the land between the [Ohio](#) and the [Scioto rivers](#) and the western boundary line of the Ohio Company's tract, extending north of the tenth [survey township](#) from the Ohio, this tract being preempted by Manasseh Cutler and Winthrop Sargent for themselves and others for the [Scioto Company](#). Cutler's original intent was to buy only about 1,500,000 acres (6,000 km²) for the Ohio Company, but on the July 27, Congress authorized a grant of about 5,000,000 acres (20,000 km²) of land for \$3,500,000; a reduction of one-third was allowed for bad tracts, and it was also provided that the lands could be paid for in United States securities. On the same day, Cutler and Sargent for themselves and associates transferred to William Duer, then Secretary of the Treasury Board, and his associates one equal moiety of the Scioto tract of land mentioned in the second contract.

green, including the First Purchase, Second Purchase, and Donation Tract.

Both parties were to be equally interested in the sale of the land, and were to share equally any profit

or loss. But, the Scioto Company interest was speculative, and their contract lapsed before they purchased any land. In contrast, the Ohio Company had a genuine plan of settlement.

The company made its first installment of \$500,000, but was unable to raise the second \$500,000. It settled for a purchase of 750,000 acres (3,000 km²), plus the two townships for [College Lands](#) and the reserved [School Lands](#) and [Ministerial Lands](#) sections in each township, for a total area of 913,833 acres (3,698.15 km²), called the First Purchase.^[6] The lands were privately surveyed, but on the same plan of townships, ranges, and sections as the adjacent [Seven Ranges](#) under the procedure of the [Land Ordinance of 1785](#).^{[7][8]}

Settlement at Marietta, Ohio

[edit]

In 1788, General Rufus Putnam laid out the plans for Marietta, the first permanent settlement in the present state of Ohio. The Ohio Company sent [pioneers](#) from [New England](#) to the Northwest Territory. Their first purchase was in [Washington](#), [Meigs](#), [Gallia](#), [Lawrence](#) and [Athens counties](#).

Difficulties with [Indians](#) during the [Northwest Indian War](#), including the [Big Bottom Massacre](#), led Congress in 1792 to donate 100,000 acres (400 km²) on the north edge of the first purchase as a buffer against incursion. The [Donation Tract](#) incorporated much of present-day Washington and Morgan counties. Many associates of the company held army bounty warrants, which they could exchange for federal land, totaling 142,900 acres (578 km²).

Later in 1792, the Ohio Company purchased another 214,285 acres (867.18 km²) in [Morgan](#), [Hocking](#), [Vinton](#) and [Athens](#) counties, using these bounties, with the 1/3 discount for bad lands, as in the first purchase.^[9] The Second Purchase had no sections set aside for schools or ministry. The Second Purchase is also known as the [Purchase on the Muskingum](#).^[8]

In 1796, the Ohio Company divided its shares and ceased to be a genuine land company.

TRACT	AREA (acres)	AREA (Hectares)
First Purchase	913833	369816
Second Purchase	214285	86718
Donation Tract	100000	40469
Total	1228118	497002

See also

[edit]

- [Hildreth, Samuel Prescott](#) - pioneer historian
- [Historic regions of the United States](#)
- [Ohio Company Land Office](#)
- [Ohio Lands](#)

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[edit]

- ↑ Hildreth, *Pioneer History*, 199.
- ↑ Hildreth, *Pioneer History*, 200-01.

3. [^] [Hildreth, *Pioneer History*, 249.](#)
4. [^] [Hildreth, *Pioneer History*, 259.](#)
5. [^] A bronze historical plaque on the wall of [Federal Hall, New York](#), commemorates the Ohio Company, with a map of Ohio.
6. [^] [Knepper, George W \(2002\). *The Official Ohio Lands Book* !\[\]\(a22ba4e13c745edbf29e51af246c4c12_img.jpg\). The Auditor of the State of Ohio !\[\]\(33b18af9a4b997eb52666cfeb3c44157_img.jpg\).](#) pp. 27–30.
7. [^] [Text of Ordinance of May 20, 1785 !\[\]\(262b158440b847a82f89a14cab8644ec_img.jpg\) Library of Congress](#)
8. [^] ^a ^b [Peters, William E \(1918\). *Ohio Lands and Their Subdivision* !\[\]\(f51929fecf7b0dc947ac13f4c4835e8f_img.jpg\). W.E. Peters. pp. 237–258.](#)
9. [^] [6 Stat. 8 !\[\]\(dfbf0e54bcca114319aa65c906feb8d0_img.jpg\) - Text of Act of April 21, 1792 Library of Congress](#)

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External links

[\[edit\]](#)

- Manuscripts and Documents of the Ohio Company of Associates - Marietta College [🔗](#).
- Ohio Company of Associates [🔗](#) at *Ohio History Central*

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Ohio Lands

[show]

Categories: Companies established in 1786 | Early American land companies
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